

And *Japan*? Problems persist. Its economy is quite mature now, which means we can expect only moderate growth. But a political and social revolution is under way that will create some interesting investment opportunities. My theme for Japan is that it is moving from a producer society controlled by middle-aged men to a consumer society in which women will have a major role. I expect a swing away from exporting and capital goods companies toward companies involved in housing and retailing. So you try to guess who's going to be the Home Depot or Wal-Mart of Japan. So far we have not found a satisfactory answer.

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*India* could be very exciting. The theme here is the same as for China—the reform of a socialist economy. India fits the Promethean metaphor of a giant in chains. The chains were the bureaucratic rules that governed every aspect of corporate activity. Finally some ministers came into government who said if businesses are run by competent people, they'll do sensible things. If they don't, the businessmen will fail and be replaced by others who will do sensible things. Therefore, we can take away a bunch of rules. It's worked. India's been moving along at about a 6 percent growth rate, up from its historic rate of about 3 percent.

*Korea* is a special situation. It wasn't opened to foreigners until 1992, and foreigners can still own only 10 percent of a company's outstanding shares (and in some cases foreign ownership is forbidden altogether). Since the quality, liquid stocks quickly reached the 10 percent limit, the only way you can buy these shares is from an